The world in brief

Catch up quickly on the global stories that matter

Photograph: Reuters

The United Arab Emirates said it would leave the **Organisation of Petroleum Exporting Countries** on May 1st, after six decades of membership. The departure is likely to weaken a group that supplies around a third of the world's oil. The UAE—which in 2025 was the cartel's third-largest producer and has long chafed at OPEC's constraints on its output—recently criticised its neighbours in the Gulf for not doing enough to defend it against attacks from Iran, another member.

In a speech to America's Congress, **King Charles III** sought to salvage the countries' battered "special relationship", saying ties were "more important" than ever and that global challenges were "too great for any one nation to bear alone". He stressed that the two countries have worked closely together on defence and intelligence for decades. Earlier, he met Donald Trump at the White House.

Mr Trump claimed **Iran** had told America it was in a "state of collapse" and wanted the Strait of Hormuz reopened "as soon as possible". Officials in Iran have not confirmed this. Mr Trump also lashed out at Friedrich Merz, Germany's chancellor, saying he

“doesn’t know what he’s talking about”, after Mr Merz said America was being “humiliated” by Iran.

An **Israeli strike** in the southern **Lebanese** town of Majdal Zoun, near the countries’ border, wounded two soldiers and trapped three rescuers under rubble, according to the Lebanese army. The attack hit troops and emergency workers during a rescue operation, despite an American-brokered ceasefire. Lebanon’s health ministry said at least 2,534 people have been killed and 7,863 wounded since early March.

BYD, China’s biggest electric carmaker, reported annual net profits of $590m—a fall of more than 50% from the previous year. While demand for its EVs in other countries rose, fierce competition in its home market had led to a drop in domestic sales. The manufacturer resorted to slashing prices and developing ultra-fast charging technology to stay ahead, reducing profit margins.

America’s Department of Justice indicted **James Comey** for a second time. The charge against the former FBI director concerns a photo he posted last year, of shells forming the numbers “86 47”. The Trump administration accused him of threatening the 47th president—“86” is slang for “removing” something—and launched an investigation. Mr Comey denied advocating violence. His earlier indictment, on separate charges, was dismissed.

British MPs voted against opening an inquiry into whether **Sir Keir Starmer** misled parliament over his appointment of **Peter Mandelson** as ambassador to America. The motion, brought by the opposition Conservative Party, was defeated by a wide margin as Labour MPs voted it down. A finding that he misled parliament could have intensified calls for Sir Keir’s resignation.

Figure of the day: 30%, the rise in the cost of renting Nvidia’s H100 AI chips since November. Read our story on the growing bottlenecks in AI infrastructure.

Photograph: AFP via Getty Images

What the UAE’s exit means for OPEC

When OPEC meets on Wednesday, the club will be contemplating the departure of one of its longest-standing members. The United Arab Emirates will leave on May 1st after years of tension over production quotas, exacerbated by its rivalry with Saudi Arabia, the group’s biggest exporter and de facto enforcer.

The move will have little immediate impact. Iran’s blockade of the Strait of Hormuz is choking off exports across the Gulf, limiting the UAE’s ability to raise output even outside the cartel. But once flows resume, the country will be free to pump without restraint; it plans to raise production capacity to around 5m barrels a day by 2027, up from 3.6m before the war.

That could complicate OPEC’s efforts to manage supply. Saudi Arabia may have to cut output further to support prices, especially if others also chafe at quotas. The cartel has weathered exits before. Yet as internal strains deepen and its share of global production declines, its influence over oil markets looks set to weaken.

Photograph: Getty Images

An end to the Powell era at the Fed

It briefly looked as though Jerome Powell would remain Federal Reserve chair beyond the end of his term in May; Thom Tillis, a Republican senator, threatened to hold up the appointment of his replacement, Kevin Warsh, unless the Department of Justice dropped a spurious probe into Mr Powell. On April 24th the DOJ backed down. Wednesday's interest rate decision and press conference are almost certainly Mr Powell's last. With inflation rising again, expect the bank to hold rates.

No Fed chair since Paul Volcker in the 1980s has had to deal with so nasty an inflation shock. And none since Arthur Burns in the 1970s (at least) has faced quite so much political interference. A zen retirement may be some way off, though. Former chairs usually depart the bank, but Mr Powell has vowed to stay on as one of seven governors until the DOJ investigation is wrapped up (some loose threads remain), and possibly beyond. Per the central bank's rules, he could stay until 2028.

Photograph: Getty Images

Big tech goes all in on AI

Investors are holding their breath. Four big-tech firms with pledges to spend upwards of $600bn this year on AI infrastructure report earnings on Wednesday. Alphabet, Amazon, Meta and Microsoft, collectively worth almost $12trn, will provide an unprecedented snapshot of the state of AI computing. The cloud businesses of Alphabet and Amazon are likely to benefit from their close relationships with Anthropic, an AI lab whose revenues surged in the past three months. Microsoft, which has had stronger links with OpenAI, maker of ChatGPT, will be closely watched to see whether its software business, particularly its Copilot AI chatbot, is accelerating.

The question for Meta is whether strong ad revenues and job cuts announced this month will help cover capital spending. A broad concern is whether all four can fulfil their spending plans. Data-centre construction is suffering from popular opposition in America, and chips and energy are in short supply. The mega caps are not all masters of their own destinies.

Photograph: Reuters

AstraZeneca’s moveable feast

AstraZeneca’s first-quarter earnings for 2026, due on Wednesday, will show whether diplomacy pays dividends. Late last year, the Anglo-Swedish drugmaker pledged a $50bn investment in America. Sir Pascal Soriot, its boss, said the decision was driven by “belief in America’s innovation”—nothing to do with looming tariffs. The Trump administration granted it a three-year exemption shortly afterwards.

Sir Pascal has also courted China, where AstraZeneca is investing billions of dollars. When the EU accused AstraZeneca of avarice over its distribution of the covid vaccine in 2021, Sir Pascal asserted the firm was “European as much as we are British”. So far, playing all sides has paid off: AstraZeneca’s valuation has grown almost six-fold under Sir Pascal’s tenure.

Riding high

AstraZeneca, market capitalisation, £bn

Source: LSEG Workspace

Photograph: Getty Images

Donald Trump’s immigration policy in court

On Wednesday America’s Supreme Court will consider the Temporary Protected Status programme, one target of Donald Trump’s crackdown on immigration. As of March 2025, some 1.3m people from 17 countries ravaged by war or humanitarian crises were protected from deportation and authorised to work in America under TPS.

Mr Trump’s attempts to terminate many of these designations have faced resistance from lower courts In two related cases, the Supreme Court will decide whether the abolition of TPS for 350,000 Haitians and 6,000 Syrians is legally sound.

The government argues its decisions to cancel these designations are not subject to judicial review. And, even if they are, it insists its actions were valid and based on “weighty foreign-policy and national-security considerations”. Challengers counter that the government seeks “a massive expansion of power” and has not adequately considered conditions in Syria and Haiti. A decision is expected by July.

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 GMT on Friday to . We'll pick three winners at random and crown them on Saturday.

Wednesday: The median appears at which point of a statistical distribution?

Tuesday: Which breed of horse, originating in England, was notable for its strength, being used to pull canal boats and brewers' carts, as well as farm equipment?

Economics is extremely useful as a form of employment for economists.

John Kenneth Galbraith